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Evaluate non-productive assets as investments

The company might have a lot of non-productive assets which do not directly contribute to day to day operations but generate good returns as investments.

EXAMPLE

A company land may not contribute to day to day business operations but generate good investment returns.



In this case, the company is treating the land as an investment.



However, if a company has a lot of furniture, it is **not investment-worthy** and thus **wastage of assets**. Thus, depending on the type of unproductive assets, we can analyze whether the unproductive assets are investment worthy or not. Thus, it is important to evaluate each non-productive asset as an investment starting from furniture, software, computers, etc. Non-productive assets like land and building have a lot of investment value.



not investment worthy

furniture,
software,
computers

land and
buildings

(cannot be avoided
as required by the
company)

It is thus important to divide the non-productive assets into investment-worthy and non-investment-worthy and then evaluate them.

Non-productive assets

Investment
worthy

Non Investment
worthy